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No. 97-303

IN THE

Supreme Court Of The United States

OCTOBER TERM, 1997

HUMANA INC. AND
HUMANA HEALTH INSURANCE OF NEVADA, INC.,
Petitioners,

v.

MARY FORSYTH, MARIETTA CADE,
WILLIE ANDREWS, MARY LOU BUEHLER,
HELEN STAVES, RANDOLPH BRATTON,
AND SEARLE AUTO GLASS, INC.,
Respondents.

On Writ of Certiorari to the United States
Court of Appeals for the Ninth Circuit

BRIEF ON THE MERITS OF PETITIONERS

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August 6, 1998

45 pp

QUESTION PRESENTED

Whether the application of a federal statute -- here the Racketeer Influenced and Corrupt Organizations Act ("RICO") -- to the business of insurance would "invalidate, impair or supersede" state law regulating the same conduct in contravention of the McCarran-Ferguson Act where the state and federal statutory prohibitions are parallel, but the remedies provided are materially different.

PARTIES TO THE PROCEEDING BELOW

1. Humana Inc. ("Humana") and Humana Health Insurance of Nevada, Inc. ("Humana Insurance"), petitioners herein, were defendants in the district court and appellees in the court of appeals. Humana Insurance is a wholly owned subsidiary of Humana. There are no other parent corporations of petitioners and no nonwholly owned subsidiaries; but, by reason of certain contractual obligations undertaken in connection with the acquisition of Humana's former hospital operations subsequent to the events at issue herein, Columbia/HCA Healthcare Corporation is beneficially interested in the outcome of this litigation.

2. Mary Forsyth, Marietta Cade, Willie Andrews, Mary Lou Buehler, Helen Staves, Randolph Bratton and Searle Auto Glass, Inc., respondents here, were plaintiffs in the district court and appellants in the court of appeals. They were certified by the district court pursuant to Rule 23 of the Federal Rules of Civil Procedure as representatives of the classes described herein.

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In The

SUPREME COURT OF THE UNITED STATES

October Term, 1997

No. 97-303

Humana Inc. and
Humana Health Insurance of Nevada, Inc.,
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v.

Mary Forsyth, Marietta Cade,
Willie Andrews, Mary Lou Buehler,
Helen Staves, Randolph Bratton,
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On Writ of Certiorari to the United States
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BRIEF ON THE MERITS OF PETITIONERS

REPORT OF OPINIONS BELOW

The opinion of the court of appeals is reported as *Forsyth v. Humana, Inc.*, 114 F.3d 1467 (9th Cir. 1997).

That opinion withdraws and supersedes an earlier opinion of the same court reported as *Forsyth v. Humana, Inc.*, 99 F.3d 1504 (9th Cir. 1996). The opinion of the district court is reported as *Forsyth v. Humana, Inc.*, 827 F. Supp. 1498 (D. Nev. 1993). The decisions of the court of appeals and the district court are found as Appendices A and B, respectively, to the Petition for writ of Certiorari.

JURISDICTION

The decision under review was entered by the court of appeals on May 23, 1997. That decision granted in part a timely motion for rehearing filed by petitioners here respecting an earlier decision entered by the court of appeals on November 5, 1996. This Court has jurisdiction to review the decision at issue by writ of certiorari pursuant to 28 U.S.C. §§ 1254(1) and 2101(c).

STATUTES AT ISSUE

This case addresses principally the interpretation of section 2(b) of the McCarran-Ferguson Act, 15 U.S.C. § 1012(b), which provides, in pertinent part:

> "No Act of Congress shall be construed to invalidate, impair or supersede any law enacted by any State for the purpose of regulating the business of insurance . . . unless such Act specifically relates to the business of insurance. . . ."

The civil remedy provisions of RICO, 18 U.S.C. §§ 1961-1968 are also implicated by this case. The full text of the McCarran-Ferguson Act is set forth in the Appendix hereto. The pertinent provisions of RICO are set forth in Appendix C to the Petition for Writ of Certiorari.

STATEMENT OF THE CASE

A. Summary of Material Facts and Allegations.

This action arises out of disputes respecting the administration and interpretation of employee group health insurance policies sold by Humana Insurance in the mid-1980's in the State of Nevada. These policies contained a "co-payment" provision pursuant to which patients covered by the policies were obligated to pay all charges up to a specified deductible and to pay 20% of charges above the deductible (up to a specified annual maximum). Humana Insurance was responsible for the remaining 80%. Joint App. at JA-117.

Among other coverages, the policies covered treatment at certain Nevada hospitals, including a hospital owned by Humana, Humana Hospital-Sunrise ("Sunrise"). Appendix A to Petition for Writ of Certiorari at 2a. (114 F.3d at 1472.) Humana Insurance negotiated discounts with Sunrise for hospital services provided to its policy beneficiaries, substantially reducing the costs on many procedures. Record, CR 804, Vol. 8, Nos. 8-10. In administering the co-payment feature of the policies, Humana Insurance credited those discounts entirely to its 80% obligation.

Policy beneficiaries continued to be billed for their 20% of the undiscounted hospital charge. Record, CR 804, Vol. 9, No. 28.

In amendments to its insurance law effective in 1988, Nevada prohibited this practice and required that the benefits of such discounts be applied, *pro rata*, to an insured's co-payment obligation. *See* Nev. Rev. Stat. § 689B.061 (1997). Humana Insurance complied with that change in law and has calculated co-payment obligations accordingly since its enactment. Record, CR 804, Vol. 3, No. 13.

Respondents, on their own behalf and on behalf of a class of policy beneficiaries who made co-payments,[1] have alleged that Humana Insurance misrepresented to its insureds the pertinent facts regarding its method of accounting for discounts during the period when those discounts were credited solely to its 80% obligation. Respondents have further alleged that these misrepresentations were made in the various mailings sent by Humana Insurance to its insureds regarding their co-payment obligations, or in telephone conversations with insureds, and that these communications constitute multiple predicate acts of mail or wire fraud, giving rise to a claim for civil remedies under

[1] This class -- termed the "Co-Payor Class" -- was certified by the district court for purposes of prosecuting this claim on July 9, 1991. Record, CR 364.

RICO (the "Co-Payor RICO Claim").[2] Joint App. at JA-126-JA 131.

B. Pertinent Procedural History.

Petitioners moved the district court for summary judgment on the Co-Payor RICO claim on the ground, *inter alia*, that the application of RICO to the claim processing at issue was barred by section 2 of the McCarran-Ferguson Act.

The district court held that RICO was subject to the limitations of the McCarran-Ferguson Act, that the conduct alleged was part of the business of insurance and that the conduct was subject to Nevada's comprehensive regulatory scheme governing the business of insurance in that state which reserves to the Nevada Commissioner of Insurance "exclusive jurisdiction" in regulating the trade practices of

[2] In addition to this claim for relief, respondents also asserted three additional claims below: (1) a claim under the Employee Retirement Income Security Act of 1974 ("ERISA"), 29 U.S.C. §§ 1001-1461; (2) a claim under the Sherman Act, 15 U.S.C. §§ 1-7; and (3) a RICO claim for a class of the employers who bought the policies (the "Premium Payor Class"). As noted in the Petition for Writ of Certiorari (p.4 n.1 and p.5 n.2), the opinions below address all three claims, but only the Co-Payor RICO claim is at issue here.

the insurance industry and which contains numerous provisions addressing, and prohibiting, deceptive conduct in the sale or administration of policies. Appendix B to Petition for Writ of Certiorari at 91a-97a. (827 F. Supp. at 1520-21.) The district court also concluded that application of RICO to those practices would impair Nevada's regulatory scheme because RICO's civil penalties -- principally its treble damage provision -- far exceed the penalties proscribed by the State of Nevada for the same conduct. Appendix B to Petition for Writ of Certiorari at 95a. (827 F. Supp. at 1521-22.) On this reasoning, the district court granted summary judgment on the Co-Payor RICO claim.

On appeal, the Ninth Circuit reversed the district court on this issue. The court of appeals agreed with the district court's determination that the conduct at issue was the business of insurance, that Nevada regulated the conduct and that RICO was subject to the limitations of the McCarran-Ferguson Act. Appendix A to Petition for Writ of Certiorari at 22a-25a. (114 F.3d at 1479-80.)[3] The court of appeals did not agree, however, that the application of RICO would impair Nevada's regulatory scheme. Relying upon its then recent decision in *Merchants Home Delivery Serv., Inc. v. Frank B. Hall & Co.*, 50 F.3d 1486 (9th Cir. 1995), the court of appeals held that the disparity in remedies between

[3] The Ninth Circuit's affirmance on these three points is not within the question presented and, hence, is not at issue here and will not be addressed further in this brief.

RICO and Nevada insurance law did not create a conflict between federal and state law sufficient to preclude plaintiffs' RICO claim.[4] Appendix A to Petition for Writ of Certiorari at 25a-26a. (114 F.3d at 1480.)

Petitioners sought review of this decision by certiorari, presenting as the sole question for review whether the Ninth Circuit erred in concluding that the material differences in

[4] In discussing Nevada remedies, the Ninth Circuit recites in the decision below that Nevada law affords no private remedy to insureds for deceptive claims processing practices by insurers, a proposition that the United States questions at p. 19 of the Brief of the United States as Amicus Curiae, filed in connection with the petition for certiorari. In fact, the applicable Nevada statute changed during the relevant time period. Prior to 1987, Nev. Rev. Stat. 686A.310, contained no provision for a private cause of action. In a 1987 amendment, Nevada added subpart (2) to this statute, expressly granting such a private cause of action. The federal district court for the District of Nevada has held that this amendment simply reaffirmed existing law and that a private cause of action existed by implication even prior to the amendment -- *see Crystal Bay Gen. Improvement Dist. v. Aetna Cas. & Sur. Co.*, 713 F. Supp. 1371, 1376-77 (D. Nev. 1989) -- but there is no reported Nevada decision to that effect, and such a conclusion seems inconsistent with the provisions reserving to the Commissioner "exclusive jurisdiction" over insurance industry trade practices.

remedies between RICO and Nevada law did not implicate the McCarran-Ferguson Act. On June 22, 1998, this Court issued the writ requested.

SUMMARY OF ARGUMENT

As noted in the Petition for Writ of Certiorari, the decision below is one of numerous conflicting decisions of the several circuits respecting the interpretation of the McCarran-Ferguson Act generally, and of its applicability to RICO specifically. That split among the circuits is reflective of a basic difference in jurisprudential approaches to the issue at hand. The Ninth Circuit, like other circuits rejecting the proposition that the McCarran-Ferguson Act precludes the application of RICO to the business of insurance, uses an "inverse preemption" analysis that applies to the McCarran-Ferguson analysis the strict "direct conflict" rules that are frequently applied in cases involving implied federal preemption of state law.[5] *Merchants Home Delivery Serv.,*

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[5] This test for McCarran-Ferguson Act preclusion was first espoused by the Seventh Circuit in *NAACP v. American Family Mutual Insurance Co.*, 978 F.2d 287, 296-97 (7th Cir. 1992), a case that did not involve RICO. Other decisions embracing it include *Sabo v. Metropolitan Life Insurance Co.*, 137 F.3d 185, 194-95 (3d Cir. 1998); *Villafane-Neriz v. FDIC*, 75 F.3d 727, 735-36 (1st Cir. 1996); and *Nationwide Mutual Insurance Co. v. Cisneros*, 52 F.3d 1351, 1360-63 (6th Cir. 1995), *cert. denied*, 516 U.S. 1140 (1996).

Inc. v. Frank B. Hall & Co., supra, 50 F.3d at 1492. The circuits finding McCarran-Ferguson preclusion have not constrained their analysis by the special restrictive rules applicable to implied federal preemption. Instead, these courts have examined the question of whether the McCarran-Ferguson Act applies to RICO using generally applicable principles of statutory interpretation.[6]

The "inverse" preemption analysis embraced by the Ninth Circuit below is logically flawed. The restrictive implied federal preemption rules of construction are predicated upon principles of federalism and reflect the strong presumption that the laws of the states are to be preserved, despite overlapping federal legislation. *See, e.g., Cipollone v. Liggett Group, Inc.*, 505 U.S. 504, 516 (1992). The McCarran-Ferguson Act does not involve federal interference in state regulation, but rather Congress' voluntary withdrawal from a field seen best left to the states.

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[6] *Doe v. Norwest Bank Minnesota, N.A.*, 107 F.3d 1297, 1305-08 (8th Cir. 1997); *Kenty v. Bank One, Columbus, N.A.*, 92 F.3d 384, 391-93 (6th Cir. 1996); *Ambrose v. Blue Cross & Blue Shield*, 891 F. Supp. 1153, 1159, 1165-68 (E.D. Va. 1995), *aff'd mem.*, 95 F.3d 41 (4th Cir. 1996) (unpublished memorandum). The Fourth Circuit's affirmance of *Ambrose* appears to reject its earlier and arguably contrary *dictum* in *Mackey v. Nationwide Insurance Cos.*, 724 F.2d 419 (4th Cir. 1984).

Adoption of an "inverse preemption" analysis has the perverse result of applying a rule of construction created out of a concern for states' rights to circumscribe a statute that is intended to foster those same rights.

The ordinary rules of statutory interpretation should be applied to the McCarran-Ferguson Act. Under those rules, the McCarran-Ferguson Act must be interpreted as precluding the application of RICO to the business of insurance. The language and history of the statute bespeak a broad preclusionary intent, not limited to "direct conflicts," but intended to withdraw Congress from the field absent an express congressional statement to the contrary. A federal statute that imposes materially different remedies or procedures than does an otherwise parallel state law effectively renders superfluous the state legislative decisions respecting those remedies or procedures. Accordingly, the application of such a statute to the business of insurance would "invalidate, impair or supersede" state law in derogation of the McCarran-Ferguson Act even if the federal law and the state law were parallel with respect to their substantive prohibitions.

ARGUMENT

The McCarran-Ferguson Act was the congressional response to this Court's decision in *United States v. South-Eastern Underwriters Ass'n*, 322 U.S. 533 (1944), which overturned a long-standing presumption that the sale of insurance was not commerce and, hence, was not reached by federal law regulating interstate commerce. *See, e.g., Paul v. Virginia*, 75 U.S. (8 Wall.) 168, 183 (1869). As a consequence of *South-Eastern*, state laws on insurance, which had been thought to be the exclusive source of regulation, were threatened with eclipse by federal law which, if applicable at all, becomes ascendant under the supremacy clause. The McCarran-Ferguson Act was specifically intended to prevent that result. *Department of Treasury v. Fabe*, 508 U.S. 491, 500 (1993).

The federal legislation at issue in *South-Eastern* was the Sherman Act, 15 U.S.C. §§ 1-7. Not surprisingly, therefore, most of the congressional debate on the Act centered on its effect on the antitrust laws, which proved to be the most contentious aspect of the legislation.[7] The

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[7] The remarks of Senator Pepper are illustrative:

> "I do not oppose State regulation which is not inconsistent with the operation of the Sherman Antitrust Act and the Clayton Act. On matters of taxation, general regulation, and all that sort of thing,

McCarran-Ferguson Act is not limited to the antitrust laws, however, and provides a rule of general applicability to all federal legislation, except for the statutes enumerated in section 4 of the Act and federal legislation related specifically to insurance.[8] On this issue, there appears to be no disagreement among the circuits, and the Ninth Circuit expressly acknowledged below that the McCarran-Ferguson Act would preclude the application of RICO to the insurance practices at issue if RICO could be said to invalidate, impair or supersede Nevada law regulating the conduct. Appendix A to Petition for Writ of Certiorari at 22a. (114 F.3d at 1480.)

Where the circuits diverge is on the issue of the test to apply in making the "invalidate, impair or supersede" determination. The Eighth, Sixth and (apparently) Fourth

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> I think the States should regulate, but I think that now that insurance has been brought, by the decision of the Supreme Court, up to the bar of the Clayton Act and the Sherman Act, we should not give the insurance companies immunity from the applicability of those acts."

91 Cong. Rec. 1444 (1945).

[8] This Court itself applied the McCarran-Ferguson Act to the bankruptcy laws in *Department of Treasury v. Fabe*, *supra*, 508 U.S. at 493, 508-510.

Circuits apply a broad rule of McCarran-Ferguson preclusion derived from the breadth of the language of the statute. On their reading of the Act, those circuits have concluded that material differences between state and federal law on remedies alone may result in preclusion of the federal law. *See, e.g., Doe v. Norwest Bank Minnesota, N.A., supra*, 107 F.3d at 1307-08. In contrast, the Ninth Circuit, and the circuits that share its view, apply a narrow rule derived from an "inverse preemption" analysis that reasons that McCarran-Ferguson preclusion of federal law in deference to state law is analogous to implied federal preemption of state law and should be governed by the same rules. On this reasoning, these circuits require a "direct conflict" between state and federal law, a conflict that they do not find in differences in the procedures or remedies provided by state and federal law. *See, e.g., Merchants Home Delivery Serv., Inc. v. Frank B. Hall & Co., supra*, 50 F.3d at 1492.

The conclusion reached by the Ninth Circuit and the others adopting this analysis is not free from doubt even if the "inverse preemption" analysis used were otherwise appropriate. In concluding that even material differences in procedures or remedies would not be a "direct conflict" sufficient for implied federal preemption, the Ninth Circuit relies on *Silkwood v. Kerr-McGee Corp.*, 464 U.S. 238 (1984). In *Silkwood*, however, this Court made note of the fact that the legislative history of the federal statute in question showed a congressional intent to preserve the state tort remedies at issue. 464 U.S. at 251-56. This Court has

elsewhere found a difference in remedies to be sufficient state interference with federal law to require preemption. *E.g.*, *Garner v. Teamsters*, 346 U.S. 485, 498-99 (1953); *San Diego Bldg. Trades Council v. Garmon*, 359 U.S. 236, 247 (1959). Moreover, if a federal preemption analysis were to be adopted for application of the McCarran-Ferguson Act, the "field" preemption of *Rice v. Santa Fe Elevator Corp.*, 331 U.S. 218 (1947) would appear to be the better analogy given the statutory structure and legislative history that demonstrates the congressional intent to leave the entire field of insurance regulation to the states.[9]

The principal flaw in the Ninth Circuit's reasoning below is not, however, in the *manner* in which the court applied the law of implied federal preemption. Rather, it is in the determination that those rules properly apply to the McCarran-Ferguson Act at all. As will be discussed in the balance of this brief, they do not. The ordinary rules of statutory interpretation apply and they compel the opposite of the determination reached by the Ninth Circuit below.

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[9] The remarks of Representative Gwynne, one of the principal proponents of the Act in the House of Representatives, most clearly make the point:

> "What we are trying to do is to make it clear to the States and to the insurance companies that we are as far as possible removing ourselves from the field."

91 Cong. Rec. 1090 (1945).

A. The "Inverse Preemption" Analysis Underpinning the Decision Below Is Inappropriate for Application of the McCarran-Ferguson Act.

One can hardly quarrel with the observation that McCarran-Ferguson preclusion of federal law has an effect that is analogous to federal preemption of state law. It does not follow, however, that the two must, or should, be governed by the same rules. Given that the "direct conflict" test has no basis in the language of the statute, whether federal preemption rules should apply to a McCarran-Ferguson analysis depends upon whether application of those rules would foster the goals of the Act. Examination of that question -- which is not addressed in the decisions of the Ninth Circuit or of the other circuits sharing its view -- quickly leads to the conclusion that the application of rules governing issues of federal preemption fosters not merely different goals than the McCarran-Ferguson Act, but totally contrary goals.

The restrictive rules governing federal preemption are predicated upon principles of federalism. *Community Communications Co. v. Boulder*, 455 U.S. 40, 61 (1982) (Rehnquist, J., dissenting). They reflect the structure of our Constitution, in which the powers of the federal government "are few and defined [while those] which are to remain in the State governments are numerous and indefinite." *Gregory v. Ashcroft*, 501 U.S. 452, 458 (1991) (*quoting* The Federalist No. 45, at 292-93 (James Madison) (Clinton Rossiter ed. 1961)). A strong presumption is applied that

state laws are to be preserved if possible, despite overlapping federal legislation. *E.g.*, *Cipollone v. Liggett Group, Inc.*, *supra*, 505 U.S. at 516.

Simply put, the goal served by the rules of implied federal preemption is deference to the sovereignty of the states. When these rules are applied in the "inverse" case of McCarran-Ferguson preclusion, as the Ninth Circuit does, their effect is itself inverted, with the rules now fostering the goal of deference to *federal* sovereignty.

No federalist principle requires such a rule since McCarran-Ferguson preclusion is a voluntary relinquishment of power by Congress and not a result forced upon the federal government by a clash of sovereignties. Under the supremacy clause, federal law prevails in such a clash in any event, a circumstance that further illustrates the inappropriateness of using a principle of interpretation intended to protect the subservient sovereign. While the states can do nothing about federal laws that preempt their own, Congress need only state that a federal statute applies to insurance to avoid the preclusive effect of the McCarran-Ferguson Act.

More to the point, limiting McCarran-Ferguson preclusion by applying a rule of strict deference to federal sovereignty would run directly contrary to the goals of the Act, which this Court itself has characterized as restoring "the supremacy of the States in the realm of insurance regulation." *Department of Treasury v. Fabe*, *supra*, 508

U.S. at 500. Use of an "inverse preemption" analysis frustrates, not fosters, the purposes of the McCarran-Ferguson Act.

Use of an "inverse preemption" analysis is also inconsistent with the language and history of the Act. An "inverse preemption" test necessarily limits the preclusive effect of the McCarran-Ferguson Act to circumstances in which, but for the Act, the federal statute in question would preempt the state statute. Such a limitation would reduce the "invalidate, impair or supersede" formulation of the Act to simply "invalidate," leaving "impair or supersede" without meaning or effect in violation of the interpretive principle that, when words are used in the disjunctive, each must be given its separate meaning. *Garcia v. United States*, 469 U.S. 70, 73 (1984).

An "inverse preemption" analysis also includes -- indeed, is predicated upon -- the presumption that all federal legislation applies to the business of insurance. Only where it can be shown that it is impossible to apply federal law without directly conflicting with state law would the application of federal law be precluded by the Act. The structure of the McCarran-Ferguson Act is not consistent with such a presumption since the Act places upon Congress the burden of deciding whether it wants legislation to apply to insurance and imposes the presumption that it does not "unless such Act specifically relates to the business of insurance." 15 U.S.C. § 1012(b) (1994). That this structure reflects a congressional intent that the opposite presumption

apply -- *i.e.*, that federal law be presumed *inapplicable* to insurance -- is made unambiguously clear in legislative history quoted and relied upon by this Court in *Fabe*:

> "What we have in mind is that the insurance business, being interstate commerce, if we merely enact a law relating to interstate commerce, or if there is a law now on the statute books relating in some way to interstate commerce, it would not apply to insurance. We wanted to be sure that the Congress, in its wisdom, would act specifically with reference to insurance in enacting the law."

Department of Treasury v. Fabe, *supra*, 508 U.S. at 507 n.7 (*quoting* 91 Cong. Rec. 1487 (1945) (statement of Sen. Ferguson).[10]

This Court has had numerous occasions to address the interpretation of other provisions of the McCarran-Ferguson Act over the years, most recently in *Barnett Bank, N.A. v. Nelson*, 517 U.S. 25 (1996). On each occasion, it has approached the issue using the ordinary rules of statutory interpretation:

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[10] Representative Gwynne made similar remarks in the House:

> ". . . no act of Congress governing interstate commerce shall apply to insurance unless the act specifically so states."

91 Cong. Rec. 1090 (1945).

> "[T]he starting point in a case involving construction of the McCarran-Ferguson Act, *like the starting point in any case involving the meaning of a statute*, is the language of the statute itself."

Department of Treasury v. Fabe, *supra*, 508 U.S. at 500, *quoting Group Life & Health Ins. Co. v. Royal Drug Co.*, 440 U.S. 205, 210 (1979) (emphasis added).[11] It is this traditional approach that should be applied here as well, and that approach requires reversal of the decision under review.

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[11] Contrary to the suggestion of the Third Circuit in *Sabo v. Metropolitan Life Insurance Co.*, *supra* 137 F.3d at 194, *SEC v. National Securities, Inc.*, 393 U.S. 453 (1969) does not provide support for a restrictive approach to McCarran-Ferguson Act interpretation. As the Eighth Circuit correctly noted in *Doe v. Norwest Bank Minnesota, N.A.*, *supra*, 107 F.3d at 1307, *National Securities* is inapposite because this Court's decision there turned on the issue of whether sale or issuance of securities was the "business of insurance" and on the fact that the state and federal statutes at issue were regulating different conduct and were intended to protect entirely different interests.

B. RICO's Materially Different Remedies "Impair or Supersede" Nevada's Otherwise Parallel Insurance Law.

1. *The Language of the McCarran-Ferguson Act Compels the Conclusion That It Bars RICO'S Application To the Business of Insurance.*

The critical interpretive question presented is the meaning of "invalidate, impair or supersede" as used in the Act. Interpretation must begin with the words themselves, as this Court has often cautioned. All of the words must be considered, *Garcia v. United States*, *supra*, 469 U.S. at 73, and the words must be given their ordinary English meaning. *Barnett Bank, N.A. v. Nelson*, *supra*, 517 U.S. at 38-39.

As already noted, "invalidate" could be equated with "preempt" and limited to the narrow circumstance of a conflict between state and federal law so severe as to qualify for federal preemption but for the Act. "Impair" and "supersede" cannot be so constrained, and Congress could not have intended so restrictive a meaning when the Act was passed. As reflected in the leading dictionaries of the time, "impair" is to "make worse, less valuable, or weaker;" or "to diminish in quantity, value, excellence, or strength." OXFORD ENGLISH DICTIONARY 72 (1933); WEBSTER'S NEW INTERNATIONAL DICTIONARY 1246 (2d Ed. 1934). "Supersede" is "to make unnecessary or superfluous," or "to force out of use as inferior." WEBSTER'S NEW

INTERNATIONAL DICTIONARY 2533 (2d Ed. 1934). Any federal statute that lessens the force or significance of a state statute, or renders that statute superfluous, "impairs or supersedes" that state statute. Such a result can follow as readily from a disparity in state and federal remedies as from a disparity in substantive prohibitions.

A regulatory scheme necessarily has three components: (i) substantive prohibitions or mandates; (ii) remedies for non-compliance; and (iii) procedural means for determining compliance and imposing the remedies. Each of these three components is found in the law of Nevada regulating insurance and in that of all the other states as well. Each of these components was the subject of legislative consideration by Nevada and the other states, and nothing in the McCarran-Ferguson Act limits the preclusionary effect of that Act to only the first of these three components. By its terms, the Act also precludes the application of any federal statute (other than those specifically related to insurance) that "impairs" or "supersedes" state law governing the remedies or enforcement procedures included in state insurance regulation.

It is not a sufficient response to this point to suggest, as have some courts, that a disparity in remedies may be supportive of state law if the more potent federal remedies offer a greater chance "that a state norm will be vindicated . . . ." *NAACP v. American Family Mut. Ins. Co.*, *supra*, 978 F.2d at 295. The McCarran-Ferguson Act does not contain any provision for balancing a federal

statute's impairment of state law on remedies against that federal statute's supposed enhancement of the state law's substantive prohibitions or mandates.

Nor is there any basis for assuming, as this argument implicitly does, that state legislative decisions regarding remedies and procedures are less reflective of policy choices than are the decisions on substantive prohibitions.[12] Indeed, such an assumption is contrary to well-established principles of law requiring deference to legislative determinations respecting remedies, and procedures for imposing remedies, in other contexts.

The doctrines of exhaustion of administrative remedies and primary jurisdiction, for example, are grounded in the recognition that a legislative determination to have disputes determined by administrative bodies with accumulated experience and expertise in the applicable area of the law can be as significant as the decision to enact the substantive regulations themselves. *See, e.g., San Diego Bldg. Trades Council v. Garmon, supra* 359 U.S. at 244-45. As regards the scope of the remedies themselves, this Court has recognized that congressional determinations as to the appropriate remedy are entitled to as much respect as the

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[12] The Brief for the United States As Amicus Curiae, filed in connection with the Court's consideration of the petition for certiorari, makes this argument explicitly at page 16, note 10. No authority is cited, however, to support the argument.

determinations regarding substantive mandates or prohibitions and to just as much protection from state interference. As the Court has observed in the context of the federal labor laws, for example:

> "It was precisely the realization that disparities in remedies and administration could produce substantial conflict, in the practical sense of the term, between the relevant state and federal regulatory schemes and that this Court could not effectively and responsibly superintend on a case-by-case basis the exertion of state power over matters arguably governed by the National Labor Relations Act that impelled the somewhat broader formulation of the pre-emption doctrine in *Garmon*."

Amalgamated Ass'n of Street Elec. Ry. & Motor Coach Employees v. Lockridge, 403 U.S. 274, 294-95 (1971); *see San Diego Bldg. Trades Council v. Garmon, supra*, 359 U.S. at 245.

Why should the decisions of the Nevada legislature respecting remedies under its insurance law be given less dignity than Congress' decisions on remedies under the labor laws, particularly where it is plain that Nevada has, in fact, made a policy decision against adopting the very remedies at issue, as evidenced by its own "little RICO" statute. Nev. Rev. Stat. § 207.350-207.520 (1997). As the district court noted below, Nevada's statute allows the same treble damage remedy as RICO. Nev. Rev. Stat. § 207.470. The enumeration of predicate acts (contained in § 207.360)

includes provisions of Nevada's insurance law prohibiting fraud by the insured (§§ 686A.290 and 686A.291) but not the provisions prohibiting fraud *by the insurer*, (*e.g.*, §§ 686A.020, 686A.030 and 686A.040), evidencing an intent by the legislature that RICO remedies not apply to the conduct here at issue. Appendix B to Petition for Writ of Certiorari at 95a, n.33. (827 F. Supp. at 1522 n.33.)

Good reasons exist for rejecting draconian remedies. Such remedies may, for example, drive up the cost of premiums for other policy holders or, in an extreme case, render a carrier insolvent or otherwise impair its ability to honor its coverage obligations to its policy holders. Whether the state's reasons for its decision regarding remedies are good or bad is beside the point, however. Whatever the reasons, the McCarran-Ferguson Act requires that the decision be respected.[13]

This is not to say that trivial disparities in remedies or procedures need result in McCarran-Ferguson preclusion, but the disparities between RICO's remedies and those traditionally found in the law are hardly trivial. See *H.J. Inc. v. Northwestern Bell Tel. Co.*, 492 U.S. 229, 233

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[13] It is telling that the views of the state courts that have considered the issue are in accord that a disparity in remedies does impair or supersede state law. *See American Int'l Group, Inc. v. Superior Court*, 285 Cal. Rptr. 765, 767-68 (Ct. App. 1991); *Leckey v. Aetna Cas. & Sur. Co.*, 590 A.2d 1255, 1260 (Pa. Super. Ct. 1991).

(1989) (RICO's civil remedies are "drastic"). For this reason *every* reported case that examines the question of whether RICO impairs or supersedes state law -- other than the decisions adopting the restrictive "inverse preemption" analysis -- reaches the conclusion that it does. *See Doe v. Norwest Bank Minnesota, N.A., supra,* 107 F.3d at 1306-08; *Kenty v. Bank One, Columbus, N.A., supra*, 92 F.3d at 392; *Ambrose v. Blue Cross & Blue Shield, supra*, 891 F. Supp. at 1165-68; *Everson v. Blue Cross & Blue Shield*, 898 F. Supp. 532, 544 (N.D. Ohio 1994); *Wexco Inc. v. IMC, Inc.*, 820 F. Supp. 194, 203-04 (M.D. Pa. 1993); *LeDuc v. Kentucky Cent. Life Ins. Co.*, 814 F. Supp. 820, 829 (N.D. Cal. 1992); *Richhart v. Metropolitan Life Ins. Co.*, No. 89-1725, 1990 U.S. Dist. LEXIS 3597, at *6-7 (E.D. Pa. March 30, 1990); *Senich v. Transamerica Premier Ins. Co.*, 766 F. Supp 339, 341 (W.D. Pa. 1990).

2. *The History and Purpose of the McCarran-Ferguson Act Further Support the Conclusion That It Bars RICO's Application to the Business of Insurance.*

The interpretation that disparity in remedies and procedures "impairs or supersedes" state law also finds support in the purpose and history of the McCarran-Ferguson Act. As already noted, the Act was a response to *South-Eastern* and an attempt, with limits, to turn the clock back to the time when the states were the sole regulators of the

business of insurance. What conduct was allowed or prohibited was exclusively the province of the states, and so too were the remedies afforded for violation of the norms set by the states. As both the Senate and House reports on the bill that was to become the Act noted: "From its beginning the business of insurance has been regarded as a local matter, to be subject to and regulated by the laws of the several States." S. Rep. No. 79-20, at 1 (1945); H.R. Rep. No. 79-68, at 1 (1945). The purpose of the Act was restoration of that state control, and there is nothing in the Act or its history that suggests that Congress did not intend that control to include control over remedies.

The debates on the floor of Congress are consistent with this interpretation. Various remarks of Senators Ferguson and Pepper and of Representative Gwynne have already been noted above. There are many others to the same effect.[14]

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[14] Apt examples can be found at: 91 Cong. Rec. 481 (1945) (statement of Sen. Ferguson): ". . . Congress did not want at the present time to take upon itself the responsibility of interfering with the taxation of insurance or the regulation of insurance."); 91 Cong. Rec. 483 (1945) (statement of Sen. O'Mahoney): "Section 2(b) . . . [is] a sort of catch-all provision to take into consideration other acts of Congress [other than the antitrust laws] which might affect the insurance industry, but of which we did not have knowledge at the time."); 91 Cong. Rec. 485 (1945) (statement of Sen. Revercomb) (defending the Act against amendment): "Why not let the provision stand that

Except for the exemption from the antitrust laws provided by the Act -- ironically its main application to date -- the debates show a nearly unanimous sentiment to leave the business of insurance entirely to the States.

In sum, the language, purpose and history of the McCarran-Ferguson Act all demonstrate a congressional intent that the preclusive effect of the Act be broadly applied. None support the distinction between remedies and substantive prohibitions that the Ninth Circuit has embraced, and without which the decision below cannot stand.

CONCLUSION

For the foregoing reasons, the decision of the United States Court of Appeals for the Ninth Circuit should be reversed insofar as that decision addressed the Co-Payor RICO claims. This action should be remanded with

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it [future federal legislation] shall not apply unless Congress specifically says in an act that it shall apply to the business of insurance, which we are now trying to return to the States?"); and 91 Cong. Rec. 1442 (1945) (statement of Sen. McCarran): ". . . we give to the States no more powers than those they previously had [before *South-Eastern*], and we take none from them.").

instructions that the court of appeals should affirm the summary judgment granted on that claim by the district court in favor of petitioners.

August 6, 1998

Respectfully submitted,

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APPENDIX

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APPENDIX

§ 1011. Declaration of policy

Congress hereby declares that the continued regulation and taxation by the several States of the business of insurance is in the public interest, and that silence on the part of the Congress shall not be construed to impose any barrier to the regulation or taxation of such business by the several States.

§ 1012. Regulation by State law; Federal law relating specifically to insurance; applicability of certain Federal laws after June 30, 1948

(a) State regulation

The business of insurance, and every person engaged therein, shall be subject to the laws of the several States which relate to the regulation or taxation of such business.

(b) Federal regulation

No Act of Congress shall be construed to invalidate, impair, or supersede any law enacted by any State for the purpose of regulating the business of insurance, or which imposes a fee or tax upon such business, unless such Act specifically relates to the business of insurance: *Provided*, That after June 30, 1948, the Act of July 2, 1890, as amended, known as the Sherman Act, and the Act of October 15, 1914, as amended, known as the Clayton Act, and the Act of September 26, 1914, known as the Federal Trade Commission Act, as amended [15 U.S.C. 41 et

seq.], shall be applicable to the business of insurance to the extent that such business is not regulated by State Law.

§ 1013. Suspension until June 30, 1948, of application of certain Federal laws; Sherman Act applicable to agreements to, or acts of, boycott, coercion, or intimidation

(a) Until June 30, 1948, the Act of July 2, 1890, as amended, known as the Sherman Act, and the Act of October 15, 1914, as amended, known as the Clayton Act, and the Act of September 26, 1914, known as the Federal Trade Commission Act [15 U.S.C. 41 et seq.], and the Act of June 19, 1936, known as the Robinson-Patman Anti-Discrimination Act, shall not apply to the business of insurance or to acts in the conduct thereof.

(b) Nothing contained in this chapter shall render the said Sherman Act inapplicable to any agreement to boycott, coerce, or intimidate, or act or boycott, coercion, or intimidation.

§ 1014. Effect on other laws

Nothing contained in this chapter shall be construed to affect in any manner the application to the business of insurance of the Act of July 5, 1935, as amended, known as the National Labor Relations Act [29 U.S.C. 151 et seq.], or the Act of June 25, 1938, as amended, known as the Fair Labor Standards Act of 1938 [29 U.S.C. 201 et seq.], or the Act of June 5, 1920, known as the Merchant

Marine Act, 1920 [46 App. U.S.C. 861 et seq. and 911 et seq.]

§ 1015. "State" defined

As used in this chapter, the term "State" includes the several States, Alaska, Hawaii, Puerto Rico, Guam, and the District of Columbia.